Exit Phase Reality Check

Structure Alignment Required for Value Realization

Where We Are

We are no longer in a build phase. We are inside a structured exit execution window of **60–90 days**. Platform, IP, and valuation momentum are strong and confirmed.

Where the Risk Lives

Remaining risk is **not product** and it is **not market**. The singular risk factor at this stage is organizational and structural discipline.

Bottom Line: **"$100M potential is now dependent on structural discipline."**

Where We Stand Today

Four structural dimensions define our current operational exposure. Each has been assessed with full transparency and is addressable within the exit window.

💰 Runway

Monthly operational requirement of **~$12–15K**. Current funding posture is fragmented and reactive — not consistent with a company in exit execution mode.

📋 Liabilities

All obligations have been transparently captured, including **non-balance sheet exposures** previously unrecorded. Full disclosure posture is now in place.

📊 Cap Table

Undefined positions remain, including **Erwin ($350K)** and legacy share allocations. No consistent dilution framework has been applied to date.

⚠️ Founder Load

The founding team is currently absorbing both financial and operational shocks simultaneously. This is **unsustainable** under active exit conditions.

⚠ **Operational stress is now translating directly into structural risk — and structural risk discounts valuation.**

This Is Not a Funding Problem

THIS IS A STRUCTURE PROBLEM

Why Structure — Not Capital — Is the Issue

Small capital gaps, when left unresolved within an ambiguous ownership structure, create disproportionately large consequences at the point of buyer due diligence. Acquirers do not price risk — they discount or walk.

Small gaps → large consequences

Minor capital shortfalls trigger structural instability that erodes buyer confidence far beyond the dollar amount involved.

Undefined ownership → buyer hesitation

Unresolved cap table positions create legal ambiguity that stalls or terminates acquisition conversations.

Inconsistent participation → misaligned incentives

When stakeholder commitments are informal, exit alignment cannot be guaranteed — a critical red flag in any M&A review.

Cap table ambiguity → valuation discount

Buyers apply direct valuation haircuts when ownership structure cannot be cleanly represented in a data room.

"Every delay reduces exit clarity more than it saves cash." Structural inaction is not a neutral decision — it is a compounding liability.

Cap Table Rationalization for Exit

Four discrete, sequenced actions will bring the company from structural ambiguity to clean exit readiness. Each step is executable within the 60–90 day window.

1

Normalize Positions

Convert all undefined exposures — including the **Erwin $350K** obligation — into formally structured instruments with clear terms, dilution mechanics, and exit treatment.

2

Clean Ownership

Cancel and consolidate legacy share blocks, including the **1,500-share buyback**. Eliminate ambiguity from the ownership ledger before broker engagement begins.

3

Apply Clear Rule

Implement an **optional pro-rata bridge participation** policy. Non-participation results in dilution via new issuance, structured to be fully **NJ-compliant**. No exceptions, no informal side arrangements.

4

Lock Cap Table

Finalize the ownership structure prior to any broker or buyer engagement. A clean, locked cap table enables a clear, defensible buyer narrative from day one of outreach.

> **Stabilize $10K/month → Unlock $40M–$100M exit outcome.**
> Let's not let a company with $100M potential struggle for $10K decisions.